Reg. No									

St. Joseph's College of Arts& Science (Autonomous)

St. Joseph's College Road, Cuddalore – 607001

ACCA301 - FINANCIAL ACCOUNTING -I

Time: 3 hrs **Max Marks: 75**

SECTION - A (10x2=20)

Answer ALL the questions

1. Define accounting.
2. Name the branches of accounting.
3. What is a journal?
4. Give the meaning of purchase returns.
5. Write down the adjustment entry for closing stock.
6. Write down the adjustment entry for provision for depreciation.
7. What is depreciation?
8. Write any two causes for depreciation.
9. What is single entry stem?
10. Mention the formula for arriving at profit under net worth method.

SECTION –B (5 x 5 = 25)

Answer any FIVE questions

11. Explain the advantages of accounting.
12. Which are the errors disclosed by trial balance?
13. Pars journal entries for the following transactions in the books of Mr.Ravi
    a) Capital invested in business Rs. 1,00.000
    b) Furniture
    c) Goods purchased Rs.50,000
    d) Sales made Rs,70,000
    e) Stationery expanse Rs.1,000

14. Prepare trial balance from the information given below

Capital	2,00,000
Machinery	1,00,000

Sales	4,00,000
Purchase returns	10,000
Sales returns	10,000
Purchases	3,00,000
Rent	50,0000
Wage	1,00,000
Cash in hand	20,000
Cash at bank	30,000

15. Mr. Raman purchased a machine for Rs. 2,00,000 on 1.4.2010 another machine was bought on 01.07.2011 for Rs. 80,000 depreciation was charged at 15% p.a on original cost method prepare machinery a/c for 4 years from 2010-11.

16. Prepare Trading Account of Archana of Archana for the year ending 31-12-96 from the following information:

Opening Stock	80,000
Purchases	8,60,000
Freight Inward	52,000
Wages	24,000
Sales	14,40,0000
Purchase Returns	10,000
Sales Returns	3,16,000
Closing Stock	1,00,000
Import duty	30,000

17. **F**ind out profit from the following data

Capital at the beginning of the year	8,00,000
Drawings during the year	1,80,000
Capital at the end of the year	9,00,000
Capital introduced during the year	50,000

SECTION – C (3 x 10 = 30)

Answer any THREE questions

18. Explaining the concept of Accounting.

19. Enter the following transactions in Rehan's Cash book with discount and Cash Columns:

1999		**Rs.**
Jan 1	Cash Balance	18,500
3	Cash Sales	33,000
7	Paid Dravid	15,850
	Discount allowed by him	150
13	Sold goods to Manohar on credit	19,200
15	Cash withdrawn for personal expenses	2,400
16	Purchased goods from Charles on credit	14,300
22	Paid into Bank	22,750
25	Cash received from Manohar	19,000
	Allowed him discount	200
26	Drew a Cheque for office use	17,500
27	Paid Cash to Saravanan	2,950
	Discount received from him	50
28	Paid Cash to Charless less discount	14,200
29	Cash Purchases	13,500
30	Paid for Advertising	600
31	Paid Salaries	12,000

20. From the following balances extracted at the close of the year ended 31st Dec. 1996, prepare Profit and Loss account of Mr. Raj as at that date.

	Rs.		**Rs.**
Cross profit	55,000	Repairs	500
Carriage on sales	500	Telephone expenses	520
Office Rent	500	Interest (Dr)	480
General expenses	900	Fire insurance premium	900
Discount to customers	360	Bad debts	2,100
Interest from Bank	200	Apprentice Premium (Cr.)	1,500
Travelling expenses	700	Printing & Stationery	2,500
Salaries	900	Trade Expenses	300
Commission	300		

21. A second hand machine was purchased on 1-1-90 for Rs.30,000 and repair changes amounted Rs.6,000. It was installed at a cost of Rs.4,000. On 1st July 1991, another machine was purchased for Rs.26,000. On 1st July 1992 the first machine was old for Rs.30,000. One the same day, one more machine was bought for Rs.25,000. On 31-12-92, the machine bought on 1st July 1991 was sold for Rs.23,000. Accounts are closed every year on 31st December. Depreciation is written off at 15% per annum. Prepare the Machinery A/c for 3 years ending 31-12-92.

22. Mr. X has maintained his books by single entry method. From the following details calculated profit for the year and prepare a statement of affaires at the end.

Rs.1,000 (Cost) furniture was sold for Rs.5,000 on 1.1.88. 10% depreciation is to be charged on furniture. Mr. X has drawn Rs.1,000 p.m. Rs.2,000 was invested by Mr. X in 1988 as further capital.

	1.1.88	**31.12.88**	
	Rs.	**Rs.**	
Stock	40,000	60,000	
Debtors	30,000	40,000	
Cash	2,000	1,000	
Bank	10,000	5,000	(Overdraft)
Creditors	15,000	25,000	
Outstanding Expenses	5,000	8,000	
Furniture (Cost)	3,000	2,000	

Bank balance on 1.1.88 is as per cash book but the bank overdraft on 31-12-88 is as per bank statement. Rs.2,000 cheques drawn in Dec. 1988 have not been encashed within the years.

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